

HOUSE BILL No. 1144

DIGEST OF INTRODUCED BILL

Citations Affected: IC 36-7-42.5.

Synopsis: Tourism improvement districts. Provides that a person may circulate a petition to create a tourism improvement district (district) within the territory of a county, city, or town (local unit). Specifies the contents of the tourism improvement district plan that must be filed with a petition to establish a district. Provides that the legislative body of the local unit may require in the district plan that the boundaries of the district be drawn to: (1) exclude businesses; or (2) prevent overlap of the district with another area or district in which a special assessment is imposed. Provides that owners of businesses located within a district may be charged a special assessment to fund improvements and other district activities. Provides that, after a hearing on a petition to establish a district, a local unit's legislative body may adopt the ordinance establishing the district only if it determines that the petition has been signed by: (1) at least 50% of the owners of businesses within the proposed district; or (2) the owners of businesses within the proposed district that constitute more than 50% of the revenue to be collected from the special assessments. Specifies the contents of the ordinance establishing a district and the length of time for which a district may exist. Allows a district to issue bonds and specifies the term of any bonds issued. Provides that a district may be renewed. Sets forth an annual 30 day period in which the owners of the businesses in the district may request disestablishment of the district under specified conditions. Requires the local unit to contract with a private nonprofit district management association to administer and implement the district's activities and improvements.

Effective: July 1, 2026.

Karickhoff

January 5, 2026, read first time and referred to Committee on Local Government.



Second Regular Session of the 124th General Assembly (2026)

PRINTING CODE. Amendments: Whenever an existing statute (or a section of the Indiana Constitution) is being amended, the text of the existing provision will appear in this style type, additions will appear in **this style type**, and deletions will appear in ~~this style type~~.

Additions: Whenever a new statutory provision is being enacted (or a new constitutional provision adopted), the text of the new provision will appear in **this style type**. Also, the word **NEW** will appear in that style type in the introductory clause of each SECTION that adds a new provision to the Indiana Code or the Indiana Constitution.

Conflict reconciliation: Text in a statute in *this style type* or ~~this style type~~ reconciles conflicts between statutes enacted by the 2025 Regular Session of the General Assembly.

HOUSE BILL No. 1144

A BILL FOR AN ACT to amend the Indiana Code concerning economic development.

Be it enacted by the General Assembly of the State of Indiana:

1 SECTION 1. IC 36-7-42.5 IS ADDED TO THE INDIANA CODE
2 AS A **NEW** CHAPTER TO READ AS FOLLOWS [EFFECTIVE
3 JULY 1, 2026]:

4 **Chapter 42.5. Tourism Improvement Districts**
5 **Sec. 1. This chapter applies to all units except townships.**
6 **Sec. 2. As used in this chapter, "activities" means any programs**
7 **or services that promote business activity or tourism activity and**
8 **are provided to confer specific benefits upon the businesses that**
9 **are located in the tourism improvement district.**

10 **Sec. 3. As used in this chapter, "district" means a tourism**
11 **improvement district established by an ordinance adopted under**
12 **section 13 of this chapter.**

13 **Sec. 4. As used in this chapter, "district management**
14 **association" means a private nonprofit entity designated in the**
15 **district plan that enters into a contract with a unit to administer**
16 **and implement the district's activities and improvements.**

17 **Sec. 5. As used in this chapter, "district plan" means a proposal**



1 for a district that contains the information described in section 9(c)
2 of this chapter.

3 Sec. 6. As used in this chapter, "improvements" means the
4 acquisition, construction, installation, or maintenance of any
5 tangible property in the district with an estimated useful life of five
6 (5) years or more.

7 Sec. 7. As used in this chapter, "legislative body" has the
8 meaning set forth in IC 36-1-2-9.

9 Sec. 8. As used in this chapter, "owner" refers to any person
10 recognized by the unit as the owner of a business within the
11 district, without regard to whether the person is the owner of the
12 real property on which the business is located.

13 Sec. 9. (a) A person that intends to file a petition for the
14 establishment of a district under this section must first provide
15 written notice to the clerk (as defined in IC 36-1-2-4) in the case of
16 a municipality, or the county auditor in the case of a county, of the
17 person's intent before initiating the petition process.

18 (b) A petition for the establishment of a district may be filed
19 with the clerk of the municipality or the county auditor not later
20 than one hundred twenty (120) days after the date on which the
21 notice of intent for the petition is filed with the clerk of the
22 municipality or the county auditor under subsection (a). The
23 petition shall include the name and legal status of the filing party
24 and the district plan.

25 (c) The district plan shall include at least the following:

26 (1) The name of the proposed district.

27 (2) A map of the proposed district, including a description of
28 the boundaries of the district in a manner sufficient to identify
29 the businesses included.

30 (3) The proposed source or sources of financing, including:

31 (A) the proposed method and basis of levying the special
32 assessment in sufficient detail to allow each owner to
33 calculate the amount of the special assessment that may be
34 levied against the owner's business; and

35 (B) whether the district may issue bonds to finance
36 improvements.

37 (4) A list of the businesses to be assessed and a statement of
38 the manner in which the expenses of a district using a method
39 allowed under section 11 of this chapter will be imposed upon
40 a benefited business in proportion to the benefit received by
41 the business, including costs for operation and maintenance.

42 (5) For purposes of imposing the special assessment and



determining the benefits of the district's activities and improvements, a classification of the types of businesses within the proposed district. The classification may include the following variations in the assessment formula:

(A) Square footage of the business.

(B) Number of employees.

(C) Geography.

(D) Gross sales.

(E) Other similar factors that reasonably relate to the benefit received.

(6) An estimate of the amount of revenue needed to accomplish or pay for the district's proposed activities and improvements.

(7) A statement identifying the district management association, including the district management association's board of directors and governance structure and any proposed rules or regulations that may be applicable to the district.

(8) A statement indicating where a complete copy of the district plan, whether in hard copy or electronic form, may be obtained or accessed.

(9) Any other item or matter required to be incorporated in the district plan by the unit's legislative body. The legislative body may require in the district plan that the boundaries of the district be drawn to:

(A) exclude businesses; or

(B) prevent overlap of the district with another district or area in which a special assessment is imposed.

Sec. 10. The territory of a tourism improvement district:

(1) in the case of a municipality, may include only territory within the municipality; or

(2) in the case of a county, may include only territory of the county that is not within any municipality in the county.

Sec. 11. (a) A special assessment on businesses located within the district shall be levied on the basis of the estimated benefit to the businesses within the district. The unit's legislative body may use the classification of the types of businesses described in section 9(c)(5) of this chapter in determining the benefit to a business provided by the district.

(b) The special assessment that may be levied on businesses located within the district may take any form that confers benefits to the assessed business and may include any combination of the



1 following methods:

2 (1) A percentage rate per transaction at a business within the
3 district.

4 (2) A fixed rate per transaction per day at a business within
5 the district.

6 (3) A percentage of gross sales at a business within the
7 district.

8 (c) The special assessment may be levied on different types of
9 businesses located within the district and is not required to be
10 levied on the same basis or at the same rate.

11 Sec. 12. (a) After receipt of a petition under section 9 of this
12 chapter, the clerk of the municipality or the county auditor shall,
13 in the manner provided by IC 5-3-1, publish notice of a hearing on
14 the proposed district. The clerk of the municipality or the county
15 auditor shall mail a copy of the notice to each owner within the
16 proposed district. The notice must include the boundaries of the
17 proposed district, a description of the proposed activities and
18 improvements, the proposed formula for determining the
19 percentage of the total benefit to be received by each business, the
20 method of determining the benefit received by each business, and
21 the hearing date. The date of the hearing may not be more than
22 sixty (60) days after the date on which the notice is mailed.

23 (b) At the public hearing under subsection (a), the legislative
24 body shall hear all owners in the proposed district (who appear
25 and request to be heard) upon the questions of:

26 (1) the sufficiency of the notice;

27 (2) whether the proposed activities and improvements are of
28 public utility and benefit;

29 (3) whether the formula or method to be used for the
30 assessment of special benefits is appropriate; and

31 (4) whether the district contains all, or more or less than all,
32 of the territory specially benefited by the activities and
33 improvements.

34 Sec. 13. (a) After conducting a hearing on the proposed district,
35 the legislative body may adopt an ordinance establishing the
36 district if it determines that:

37 (1) the petition meets the requirements of this section and
38 sections 9 through 11 of this chapter;

39 (2) the activities and improvements to be undertaken in the
40 district will provide special benefits to businesses in the
41 district and will be of public utility and benefit;

42 (3) the benefits provided by the activities and improvements



will be new benefits that do not replace benefits existing before the establishment of the district; and

(4) the formula or method to be used for the assessment of special benefits is appropriate.

(b) The legislative body may adopt the ordinance only if it determines that the petition has been signed by:

(1) at least fifty percent (50%) of the owners of businesses within the proposed district; or

(2) the owners of businesses within the proposed district that constitute more than fifty percent (50%) of the revenue to be collected from the special assessments.

(c) The ordinance shall:

(1) incorporate the information set forth in the district plan;

(2) specify the time and manner in which special assessments levied under this chapter are to be collected and paid to the unit's fiscal officer for deposit in the tourism improvement fund established under section 14 of this chapter; and

(3) include any other content that the legislative body determines is reasonable as it relates to the operation of the district.

For purposes of subdivision (2), the collection of special assessments under this chapter may occur at the same time and in the same manner as for an innkeeper's tax under IC 6-9, including the application of any enforcement mechanisms and interest and penalty attributable to innkeeper's taxes under IC 6-9-29.

(d) The adoption of an ordinance establishing a district does not affect and may not be construed to authorize any decrease in the level of publicly funded tourism promotion services that existed before the district's establishment.

Sec. 14. (a) The unit's fiscal officer shall establish a special fund, known as the tourism improvement fund, and shall deposit in the tourism improvement fund all special assessments received under this chapter and any other amounts received by the fiscal officer.

(b) The unit's fiscal officer may transfer money in the tourism improvement fund to the district management association to be used only for the purposes specified in the ordinance establishing the district. Any bonds issued under this chapter are payable solely from special assessments deposited in the tourism improvement fund and other revenues of the district.

(c) Any money earned from investment of money in the tourism improvement fund becomes a part of the tourism improvement fund.



1 **Sec. 15. (a) The unit shall contract with the district management**
 2 **association designated in the district plan to administer and**
 3 **implement the district's activities and improvements.**

4 **(b) The district management association may be either an**
 5 **existing nonprofit corporation or a newly formed nonprofit**
 6 **corporation. If the district management association is a new**
 7 **nonprofit corporation created to manage the district, the certificate**
 8 **of incorporation or bylaws of the district management association**
 9 **shall provide for voting representation of owners within the**
 10 **district. If the district management association is an existing**
 11 **nonprofit corporation, the existing nonprofit corporation may**
 12 **create a committee of district owners or owners' representatives.**

13 **(c) The district management association may make**
 14 **recommendations to the unit's legislative body with respect to any**
 15 **matter involving or relating to the district.**

16 **(d) The unit's legislative body, for any consideration that it**
 17 **considers appropriate, may license or grant to the district**
 18 **management association the right to undertake or permit**
 19 **commercial activities or other private uses of the streets or other**
 20 **parts of the district in which the unit has any real property**
 21 **interest.**

22 **Sec. 16. (a) A district may issue bonds to provide improvements.**
 23 **The term of any bonds issued may not exceed ten (10) years. If a**
 24 **district is renewed under section 17 of this chapter, the term of any**
 25 **bonds issued may not exceed ten (10) years from the date of**
 26 **renewal.**

27 **(b) Bonds issued under this chapter do not constitute an**
 28 **indebtedness of the unit within the meaning of a constitutional or**
 29 **statutory debt limitation.**

30 **Sec. 17. (a) The initial term for a district shall be at least three**
 31 **(3) years and not more than ten (10) years.**

32 **(b) A district may be renewed for one (1) additional period of**
 33 **not more than ten (10) years by following the procedures for the**
 34 **initial establishment of a district as set forth in sections 9 through**
 35 **13 of this chapter.**

36 **(c) If a district is renewed, any remaining revenues derived from**
 37 **the levy of a special assessment, or any revenues derived from the**
 38 **sale of assets acquired with the revenues, shall be transferred to the**
 39 **renewed district. The following apply to the transfer of any**
 40 **remaining revenues of a renewed district:**

41 **(1) If the renewed district includes a business not included in**
 42 **the prior district, the remaining revenues shall be spent to**



benefit only the business in the prior district.

(2) If the renewed district does not include a business included in the prior district, the remaining revenues attributable to the parcel shall be refunded to the owners of the business by applying the method the district used under section 11 of this chapter to calculate the special assessment before the renewal.

(d) The boundaries, special assessments, improvements, or activities of a renewed district are not required to be the same as the original or prior district.

Sec. 18. An ordinance adopted under section 13 of this chapter may be amended if notice of the proposed amendment is published and mailed in the manner provided by section 12 of this chapter. However, if an amendment proposes to:

- (1) levy a new or increased special assessment;
- (2) change the district's boundaries; or
- (3) issue a new bond;

the unit's legislative body shall require compliance with the procedures set forth in sections 9 through 13 of this chapter before amending the ordinance.

Sec. 19. (a) During the operation of the district, there shall be a thirty (30) day period, beginning one (1) year after the date of the district's establishment and in each year thereafter, in which the owners may request dissolution of the district in accordance with this section.

(b) After a public hearing before the unit's legislative body, the legislative body may dissolve a district by ordinance in either of the following circumstances:

- (1) If the legislative body finds there has been misappropriation of funds, malfeasance, or a violation of law in connection with the management of the district.
- (2) At any time during the annual thirty (30) day period described in subsection (a).

(c) Upon the written petitions of the owners or authorized representatives of businesses in the district that pay fifty percent (50%) or more of the special assessments levied, the unit's legislative body shall pass a resolution of intention to dissolve the district.

(d) The unit's legislative body shall first adopt a resolution of intention to dissolve the district before the public hearing to dissolve a district under this section. The resolution of intention must include each of the following items:

- (1) The reason for the dissolution.



(2) The time and place of the public hearing.

(3) A proposal to dispose of any assets acquired with the revenues of the special assessments levied within the district. The notice of the hearing on the resolution of intent to dissolve the district shall be published in the manner provided by IC 5-3-1 and must also be given by mail to the owner of each business subject to a special assessment in the district. The legislative body shall conduct the public hearing on the resolution of intention to dissolve the district not later than thirty (30) days after the date the notice is mailed to the assessed owners.

(e) The public hearing to dissolve the district shall be held not more than sixty (60) days after the date of the adoption of the resolution of intention.

(f) A dissolution of a district under this section has the effect of repealing the ordinance adopted under section 13 of this chapter that established the district.

Sec. 20. (a) The district management association shall submit an annual report to the legislative body and the fiscal body before January 1 of each year, beginning in the year after the first year of the district's establishment.

(b) The report shall contain the following information:

(1) The use of revenue collected from special assessments levied under this chapter for that year.

(2) The activities and improvements to be provided for the ensuing year and an estimate of the cost of providing the activities and improvements for the ensuing year.

(3) The estimated amount of any surplus or deficit revenues to be carried over from the prior year.

Sec. 21. (a) Upon the dissolution or expiration without renewal of a district, any remaining revenues, after all outstanding debts are paid, derived from the:

(1) levy of special assessments; or

(2) sale of assets acquired with the revenues of the district or from bond reserve funds or construction funds;

shall be refunded to the owners located within the district on or before the date of the district's dissolution or expiration without renewal.

(b) The amount of the refund provided under subsection (a) to an owner shall be determined by applying the method the district used under section 11 of this chapter to calculate the special assessment in the year:

(1) in which the district was dissolved or allowed to expire



1 without renewal; or

2 (2) before the district was dissolved or allowed to expire
3 without renewal if a special assessment had not been levied.

4 However, in lieu of providing a refund, the unit's legislative body
5 may instead elect to spend any remaining revenues on activities
6 and improvements specified in the ordinance that established the
7 district before its dissolution or expiration without renewal.

8 (c) Any liabilities incurred by the district are not an obligation
9 of the unit and are payable solely from the collection of special
10 assessments deposited in the special fund under section 14 of this
11 chapter and other revenues of the district.

12 Sec. 22. Notwithstanding any other provision of this chapter,
13 special assessments levied to pay the principal and interest on any
14 bonds issued under this chapter may not be reduced or terminated
15 if doing so would interfere with the timely retirement of the debt.

